

HOW TO CONSTRUCT CANDLES

1

We will start by finalizing a time frame i.e. the time duration reflected in each candlestick. After that, we will identify the open price, high price, low price and close price. If it is a live chart i.e., the market is still on, then, the current price is considered as the close price for the latest candlestick.

2

Next, we will mark the open price on the chart with time being on the X-axis and price being on the Y-axis. Match the time frame and the price chart when building candlesticks.

4

Next, we will mark the close price or the live price and build the candle's body between the open and close price.

3

Next, we will mark the high and low price on the graph and draw a line through them as the candle body will lie somewhere between this range.

5

Identify whether it is a bear candle or bull candle and colour accordingly. This way we will have created one candle. We have to create a series of candles to understand trends and patterns so that we can make a decision based on them.